OPERATIONAL P&L AND FINANCIAL VIABILITY MODEL

12-Month Operating Cash Flows, Care Payroll Schedules, PropCo FRI Commercial Leases & Break-Even Modeling

Operating Company	ADOV Care Group LIMITED (OpCo)	**Commissioning Bodies**	Luton Borough Council Adult Social Care & NHS BLMK ICB
Asset Holding PropCo	ADOV LIMITED (Freehold Real Estate Co)	**Operational Headcount**	1 Team Leader, 4 Support Workers (Day), 1 Waking Night, 1 Sleep-in
Ultimate Parent Holding	FAIRYTALES GROUP (Trading Name of Mamun Limited)	**Corporate Finance Lead**	Project Planned by AbdullahMamun.com
Campus Facilities	78 & 80 Marston Gardens, Luton, LU2 7DY (8 Registered Beds)	**Accounting Period**	Year 1 Operational Forecast (2026–2027)

£977,600
Gross Turnover
8 beds @ £2,350/wk avg

£355,108
Care Staff Payroll
36.3% of gross turnover

£97,000
PropCo FRI Rent
Tax-deductible lease income

£341,392
OpCo EBITDA
35.0% operating margin

£438,392
Group Cash Flow
+£36,532 / month liquid buffer

1.0 REVENUE ENGINE & TRIPLE-TIER FEE ARCHITECTURE

ADOV Care Group derives revenue through a three-tier funding structure: Core Care commissioning, one-to-one / two-to-one enhanced hours, and Supported Exempt Accommodation Housing Benefit. This triple-stream mechanism insulates the business against local authority budget freezes.

Table 4.1: Resident Weekly Fee Architecture (Per Bed & Campus Total)

Funding Stream	Statutory Source	Weekly Fee / Bed	Annual Gross / Bed	8-Bed Campus Total	% of Revenue
Core Care Package	Luton Adult Social Care DPS (AT1115)	£1,050.00	£54,600.00	**£436,800.00**	44.7%
Commissioned 1:1 Care	BLMK ICB Continuing Healthcare / S.117	£950.00	£49,400.00	**£395,200.00**	40.4%
Exempt Housing Benefit	Luton Revenues & Benefits (Universal Credit)	£350.00	£18,200.00	**£145,600.00**	14.9%
TOTAL GROSS REVENUE	Combined Public Sector Revenue Streams	£2,350.00	£122,200.00	**£977,600.00**	100.0%

2.0 CARE STAFFING ROTA & PAYROLL ARCHITECTURE

Staffing is modeled on a unified campus rota across 78 and 80 Marston Gardens. By deploying shared waking night and supervisory leadership across both houses, the business achieves high clinical safety while keeping payroll at 36.3% of revenue.

Table 4.2: Staffing Rota & Care Payroll Breakdown (£355,108 / Year)

Staff Role & Designation	Shift Pattern & Hours	Hourly Rate / Salary	FTE Equivalent	Annual Base Payroll	On-Costs (NI/Pension)	Total Annual Cost
Registered Team Leader	Day Shift (Mon–Fri, 40 hrs/wk)	£36,000.00 / yr	1.0 FTE	£36,000.00	**£5,400.00**	**£41,400.00**
Day Support Workers (Core)	7am–3pm & 2pm–10pm (7 days)	£13.50 / hr	4.0 FTE	£112,320.00	**£16,848.00**	**£129,168.00**

Table 4.2: Staffing Rota & Care Payroll Breakdown (£355,108 / Year) (Continued)

Staff Role & Designation	Shift Pattern & Hours	Hourly Rate / Salary	FTE Equivalent	Annual Base Payroll	On-Costs (NI/Pension)	Total Annual Cost
1:1 Commissioned Workers	Flexible 1:1 enhanced hours	£13.50 / hr	3.0 FTE	£84,240.00	**£12,636.00**	**£96,876.00**
Waking Night Support Worker	10pm–7am (7 nights, shared)	£14.50 / hr	1.75 FTE	£46,186.00	**£6,928.00**	**£53,114.00**
Sleep-in Support Worker	10pm–7am (7 nights, shared)	£65.00 / night	1.0 FTE	£23,725.00	**£3,559.00**	**£27,284.00**
Training & Relief Pool	Holiday / sickness cover	£13.50 / hr	0.25 FTE	£6,318.00	**£948.00**	**£7,266.00**
TOTAL CARE PAYROLL	Comprehensive 24/7 staffing model	Living Wage Foundation accredited	11.0 FTE	£308,789.00	**£46,319.00**	**£355,108.00**

3.0 OPERATING EXPENDITURE (OPEX) & LEASE SCHEDULE

Table 4.3: Comprehensive Operating Expenditure (OpEx) Schedule

OpEx Cost Category	Monthly Cost	Annual Cost	% of Turnover	Operational Scope & Purpose
Care Staff Payroll	£29,592.33	£355,108.00	36.3%	Complete 24/7 campus care rota (11 FTE)
PropCo FRI Commercial Leases	£8,083.33	£97,000.00	9.9%	**Lease to ADOV Limited (£65k for 78; £32k for 80). 100% tax-deductible**
Utilities & Council Tax	£4,016.67	£48,200.00	4.9%	Gas, electricity, water, commercial waste collection & council tax
Resident Provisions & Food	£2,066.67	£24,800.00	2.5%	Nutrition, domestic supplies, sensory activities, household provisions
Insurances & Legal Retainers	£1,550.00	£18,600.00	1.9%	**Public liability (£10M), clinical malpractice, legal and HR advisory**
Staff Training, DBS & Uniforms	£1,041.67	£12,500.00	1.3%	Oliver McGowan autism training, Care Certificate, moving & handling
IT, Compliance & Audits	£833.33	£10,000.00	1.0%	Digital care planning software, medication MAR charts, mock CQC audits
Operational Contingency Buffer	£5,833.33	£70,000.00	7.2%	Buffer against agency staff spikes, emergency repairs & void allowance
TOTAL ANNUAL OPEX	£53,017.33	£636,208.00	65.0%	Total operational cost envelope delivering 35.0% EBITDA margin

4.0 CONSOLIDATED GROUP CASH FLOW & BREAK-EVEN ANALYSIS

CONSOLIDATED CASH FLOW SUMMARY

OpCo Operating EBITDA: £341,392.00 PropCo Net FRI Rental Income: £97,000.00 Total Pre-Tax Consolidated Group Cash Flow: £438,392.00 (+£36,532.67 / month liquid reserve) Turnkey CapEx: £68,400.00 | Break-Even Occupancy: 3.8 Beds (47.5%) | Payback Horizon: <2.5 Months | ROCE: 521.8%